RAJASTHAN

BRIBES FOR BIOFUEL

By Rohit Parihar



ALL THAT GLITTERS (From top clockwise) The residence in Jaipur that was raided; Rathore; ACB officials needed a machine to count all the seized cash

On April 7, when officers of the Rajasthan anti-corruption bureau (ACB) raided the residence of Surendra Singh Rathore, the CEO of Rajasthan Biofuel Authority (BFA) and a joint secretary in the rural development department, they unearthed Rs 3.62 crore in cash and details of unaccounted-for assets worth Rs 100 crore. Rathore had earlier been caught red-handed accepting Rs 5 lakh in cash, when apparently he boasted to the ACB officers: "You can't do anything to me. I run a thousand crore business."

But more than the cash, what surprised officials is the extent of corruption in the biofuels sector, deemed a novel concept aimed at reducing the nation's use of fossil fuels. Rathore himself personifies this, having risen from the post of havildar in the Indian Air Force (IAF) to an office equivalent to the Indian Administrative Services (IAS) in just 15 years. In his defence, Rathore told the court hearing his bail plea that "the cash seized was the collection from the mining and toll business of my son Deependra Singh...and so are the assets".

Annual bribes, documented thus far, are estimated to be around Rs 20 crore, and this is just from the manufacturers/ vendors for the licence to let them function. The ACB is still to track the main vein, the money taken from sellers of spurious diesel to let them operate. The ACB had Rathore under observation for some time and, in one incident, the wary BFA CEO had reportedly burnt cash worth Rs 20 lakh fearing a raid. "He was brazenly extorting bribes," alleged Dinesh M.N., additional director-general, ACB.

Rathore's hold over the government machinery too has brazen written all over it. In fact, there were even a few attempts to nominate the ex-havildar to the IAS cadre in the past decade but it didn't go through. "His appointment, postings and the all-round corruption were backed heavily by some powerful politicians from both the BJP and Congress as well as a section of the bureaucracy," alleged a senior officer who was reportedly privy to some of the dubious dealings in the department.

There are already indications that a possible cover-up is under way. The ACB hasn't pressed before the court the need to investigate the money trail, nor has it involved the income tax authorities or Enforcement Directorate in the probe. Sources allege that there is pressure to confine the investigations to Rathore being caught red-handed. K.K. Pathak, secretary, rural development, who is heading the committee looking into Rathore's appointment as CEO and any malpractices in his decisons says, "Prima facie, it appears the appointment rules were tweaked to suit only one candidate (Rathore). It will take time to examine all the documents to prove any malafide." An ex-chief secretary and some top IAS officers who worked with the rural department in the past, and a few on deputation at the Centre, are reportedly under the scanner.

Rathore, an ex-havildar who rose to be the key figure in the biofuels scam, once allegedly burnt Rs 20 lakh in cash, fearing a raid

One of the complainants alleged that Rathore was taking Rs 15 lakh each month from the 10 bio-diesel manufacturers besides bribes from retailers in lieu of registration and NOCs. The extent of the bribe-taking was such that it was eating into nearly 80 per cent of the profit, says one source. Rathore was also said to be getting a cut from the spurious diesel sellers. "He suggested that we too start selling the spurious bio-diesel to make extra profit...he was always boasting about his contacts among the top leaders and bureaucrats," a retailer told INDIA TODAY on condition of anonymity. All eyes are now on the state government—will the high-profile case get a quiet burial or will we see some top heads roll? ■